

Global Luxury Sleeve — Hard-Luxury Champions DD

SignalOS two-mode DD (generator → independent default-REJECT skeptic) · 2026-06-29 · top-of-the-K thesis: the wealthy keep spending and HARD luxury (scarcity + pricing power) is the most downturn-resilient expression. Read-only.

Verdict: own the *factor*, not at these prices — all four are WATCH

The hard-luxury thesis survived; the prices did not. The skeptic **overrode the generator on all three champions** (Hermès and Ferrari were downgraded STARTER → WATCH), and the kill was identical every time: **the multiples still discount the supercycle while the bottom line has already stalled**. Top-line optics hide it; earnings caught it.

Name	Live	Verdict	FV bear / base / bull	Buy level	The skeptic's kill
Richemont (CFR.SW)	CHF 189	WATCH	130 / 160 / 215	≤ CHF 155, add 125–135	All-time-high ~30× trailing for FLAT group EBIT and declining headline EPS (€6.33→€6.11); the "+14% jewellery engine" converted to zero euro of group profit (gold compressed margin 32→30.5%); China recovery already priced
Hermès (RMS.PA)	€1,622	WATCH	1,300 / 1,825 / 2,350	≤ €1,400 (real de-rate)	"34× = cheapest in 6 years" anchors to a dead ~50× zero-rate supercycle comp ; growth structurally stepped down (+14.7%→+8.9%→+6%, reported –1% on FX). No margin of safety
Ferrari (RACE)	\$370	WATCH	285 / 390 / 500	≤ \$320 (near 52-wk low)	Its own Oct-2025 capital-markets-day reset growth to ~4.9% CAGR to 2030 + halved EV ambition; Q1-2026 net profit flat YoY . Paying ~31–36× for ~5% guided growth
Kering (KER.PA)	€267	WATCH (turnaround)	—	price gate met (≤€268) ; awaiting catalyst	Not AVOID (BBB+/2.2× survivable), not buy (62× trough). FLIP only if Gucci comp inflects ~flat-or-positive at the Oct-21 Q3 print , while still sub-€268

Why these are still the names to *want*

- **Richemont** — cleanest listed hard-luxury asset: Cartier/Van Cleef branded jewellery = 74% of sales, >100% of group profit, 30.5% margin (share-gaining from unbranded), €8.5bn net cash. The cyclical watch division is a free embedded call option.
- **Hermès** — the single best business in luxury: 41% recurring operating margin that *expanded* in a down-cycle year; Birkin/Kelly supply < demand (leather +9.4% in Q1 while watches fell). The

decel is cyclical, not brand erosion.

- **Ferrari** — engineered scarcity (order book to end-2027, volume held flat), ~29.5% EBIT (Hermès-class for autos), net cash, genuinely low China exposure.

The discipline catch (the actual product of this pass)

Each name *looked* like a compounder on the top line. The two-mode pass found the bottom line had already stalled — **Richemont's declining EPS, Hermès's growth stepping down against a dead 50x comp, Ferrari's own guidance resetting to ~5%**. That is the "paying for perfection with no margin of safety" trap, caught before a single share was bought. Nothing to trade today; all four sit on the **Desk entry-watch** and ping when price drops into the buy levels above.